

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 782

BY RUBEL

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3024, IDAHO CODE, TO REVISE PROVISIONS REGARDING INDIVIDUALS' TAX AND TAX ON ESTATES AND TRUSTS; AMENDING SECTION 63-3025, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE TAX ON CORPORATE INCOME; AMENDING SECTION 63-3029L, IDAHO CODE, TO REVISE A PROVISION REGARDING THE CHILD TAX CREDIT; REPEALING SECTION 63-3029N, IDAHO CODE, RELATING TO THE IDAHO PARENTAL CHOICE TAX CREDIT; AMENDING SECTION 67-1230, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE IDAHO PARENTAL CHOICE TAX CREDIT ADVANCE PAYMENT FUND; REPEALING SECTION 67-1230, IDAHO CODE, RELATING TO THE IDAHO PARENTAL CHOICE TAX CREDIT ADVANCE PAYMENT FUND; AND DECLARING AN EMERGENCY, PROVIDING RETROACTIVE APPLICATION, AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3024, Idaho Code, be, and the same is hereby amended to read as follows:

63-3024. INDIVIDUALS' TAX AND TAX ON ESTATES AND TRUSTS. (1) For each taxable year, a tax measured by Idaho taxable income as defined in this chapter is hereby imposed upon every individual, trust, or estate required by this chapter to file a return.

(2) (a) The tax imposed upon individuals, trusts, and estates shall be computed at the rate of ~~five and three-tenths percent (5.3%)~~ five and three hundred twenty-five thousandths percent (5.325%) of taxable income over two thousand five hundred dollars (\$2,500).

(b) For taxpayers filing a joint return pursuant to the provisions of section 63-3031, Idaho Code, the tax imposed shall be computed at the rate of ~~five and three-tenths percent (5.3%)~~ five and three hundred twenty-five thousandths percent (5.325%) of taxable income over five thousand dollars (\$5,000). For the purposes of this section, a return of a surviving spouse, as defined in section 2(a) of the Internal Revenue Code, and a head of household, as defined in section 2(b) of the Internal Revenue Code, shall be treated as a joint return.

(3) For taxable year 2000 and each year thereafter, the state tax commission shall prescribe a factor that shall be used to compute the Idaho income tax thresholds provided in subsection (2) of this section. The factor shall provide an adjustment to the Idaho tax thresholds so that inflation will not result in a tax increase. The Idaho tax thresholds shall be adjusted as follows: multiply the last threshold amount by the percentage (the consumer price index for the calendar year immediately preceding the calendar year to which the adjusted threshold amount will apply divided by the consumer price index for calendar year 1998). For the purpose of this computation, the consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve (12) month period for the

1 immediately preceding calendar year, without regard to any subsequent ad-
 2 justments, as adopted by the state tax commission. This adoption shall be
 3 exempt from the provisions of chapter 52, title 67, Idaho Code. The consumer
 4 price index shall mean the consumer price index for all U.S. urban consumers
 5 published by the United States department of labor. The state tax commission
 6 shall annually include the factor as provided in this subsection to multiply
 7 against Idaho taxable income using the thresholds in this section to arrive
 8 at that year's Idaho taxable income for tax threshold purposes.

9 (4) In the case of a trust that is an electing small business trust as
 10 defined in section 1361 of the Internal Revenue Code, the special rules for
 11 taxation of such trusts contained in section 641 of the Internal Revenue Code
 12 shall apply, except that the individual rate provided in subsection (2) (a)
 13 of this section shall apply in computing tax due under this chapter.

14 (5) The state tax commission may promulgate rules defining the condi-
 15 tions upon which such returns shall be filed.

16 SECTION 2. That Section 63-3025, Idaho Code, be, and the same is hereby
 17 amended to read as follows:

18 63-3025. TAX ON CORPORATE INCOME. (1) For each taxable year, a tax is
 19 hereby imposed on the Idaho taxable income of a corporation, other than an
 20 S corporation, that transacts or is authorized to transact business in this
 21 state or has income attributable to this state. The tax rate imposed by this
 22 section shall be as follows:

23 (a) For each taxable year, commencing on and after January 1, 2001, the
 24 tax imposed by this section shall be equal to seven and six-tenths per-
 25 cent (7.6%) of Idaho taxable income.

26 (b) For each taxable year, commencing on and after January 1, 2012, the
 27 tax imposed by this section is changed and shall be equal to seven and
 28 four-tenths percent (7.4%) of Idaho taxable income.

29 (c) For each taxable year, commencing on and after January 1, 2018, the
 30 tax imposed by this section is changed and shall be equal to six and nine
 31 hundred twenty-five thousandths percent (6.925%) of Idaho taxable in-
 32 come.

33 (d) For each taxable year, commencing on and after January 1, 2021,
 34 the tax imposed by this section is changed and shall be equal to six and
 35 five-tenths percent (6.5%) of Idaho taxable income.

36 (e) For each taxable year, commencing on and after January 1, 2022, the
 37 tax imposed by this section is changed and shall be equal to six percent
 38 (6%) of Idaho taxable income.

39 (f) For each taxable year, commencing on and after January 1, 2023, the
 40 tax imposed by this section is changed and shall be equal to five and
 41 eight-tenths percent (5.8%) of Idaho taxable income.

42 (g) For each taxable year, commencing on and after January 1, 2024, the
 43 tax imposed by this section is changed and shall be equal to five and six
 44 hundred ninety-five thousandths percent (5.695%) of Idaho taxable in-
 45 come.

46 (h) For each taxable year, commencing on and after January 1, 2025, the
 47 tax imposed by this section is changed and shall be equal to five and
 48 three-tenths percent (5.3%) of Idaho taxable income.

(i) For each taxable year, commencing on and after January 1, 2026, the tax imposed by this section is changed and shall be equal to five and three hundred twenty-five thousandths percent (5.325%) of Idaho taxable income.

(2) In the case of an S corporation that is required to file a return under section 63-3030, Idaho Code, a tax is hereby imposed at the rate provided in subsection (1) of this section upon both:

(a) Net recognized built-in gain attributable to this state. The amount of net recognized built-in gain attributable to this state shall be computed in accordance with section 1374 of the Internal Revenue Code subject to the apportionment and allocation provisions of section 63-3027, Idaho Code; and

(b) Excess net passive income attributable to this state. The amount of excess net passive income attributable to this state shall be computed in accordance with section 1375 of the Internal Revenue Code subject to the apportionment and allocation provisions of section 63-3027, Idaho Code.

(3) The tax imposed by subsection (1) or (2) of this section shall not be less than twenty dollars (\$20.00); provided that the twenty-dollar (\$20.00) minimum payment shall not be collected from nonproductive mining corporations.

(4) The tax imposed by this section shall not apply to corporations taxed pursuant to the provisions of section 63-3025A, Idaho Code.

SECTION 3. That Section 63-3029L, Idaho Code, be, and the same is hereby amended to read as follows:

63-3029L. CHILD TAX CREDIT. (1) For taxable years beginning on or after January 1, 2018, ~~and before January 1, 2026,~~ there shall be allowed to a taxpayer a nonrefundable credit against the tax imposed by this chapter in the amount of two hundred five dollars (\$205) with respect to each qualifying child of the taxpayer. For purposes of this section, the term "qualifying child" has the meaning as defined in section 24(c) of the Internal Revenue Code. In no event shall more than one (1) taxpayer be allowed this credit for the same qualifying child. This credit is available only to Idaho residents. Any part-year resident entitled to a credit under this section shall receive a proportional credit reflecting the part of the year in which the part-year resident was domiciled in Idaho.

(2) In the case of divorced parents or parents who do not live together, if the qualifying child is in the custody of one or both of the child's parents for more than one-half of a calendar year, such child is the qualifying child of the custodial parent for the taxable year beginning during such calendar year. However, the child may be the qualifying child of the noncustodial parent if either of the following requirements are met:

(a) A court of competent jurisdiction has unconditionally awarded, in writing, to the noncustodial parent the tax benefits associated with the child pursuant to section 32-706, Idaho Code, and the noncustodial parent attaches a copy of the court order to the noncustodial parent's income tax return for the taxable year; or

(b) The custodial parent signs a written declaration that such custodial parent will not claim the credit of this section with respect to

1 such child for any taxable year beginning in such calendar year and the
2 noncustodial parent attaches such written declaration to the noncusto-
3 dial parent's income tax return for the taxable year beginning during
4 such calendar year.

5 SECTION 4. That Section [63-3029N](#), Idaho Code, be, and the same is hereby
6 repealed.

7 SECTION 5. That Section 67-1230, Idaho Code, be, and the same is hereby
8 amended to read as follows:

9 67-1230. IDAHO PARENTAL CHOICE TAX CREDIT ADVANCE PAYMENT FUND. (1)
10 There is hereby established in the state treasury the Idaho parental choice
11 tax credit advance payment fund, to be administered by the state tax commis-
12 sion.

13 (2) Moneys in the fund shall:

14 (a) Consist of the following:

15 (i) Legislative appropriations and transfers;

16 (ii) Donations and contributions made to the fund;

17 (iii) Reversions of unused, paid back, or recovered advance pay-
18 ment funds; and

19 (iv) Interest earned on idle moneys in the fund; and

20 (b) Be continuously appropriated to pay advance payments awarded un-
21 der the Idaho parental choice tax credit program ~~established in section~~
22 ~~63-3029N, Idaho Code.~~

23 (3) Notwithstanding any provision of law to the contrary, the state
24 controller shall transfer the unobligated cash balance remaining in the
25 Idaho parental choice tax credit advance payment fund to the general fund on
26 July 1, 2026, or as soon thereafter as practicable but no later than December
27 1, 2026.

28 SECTION 6. That Section [67-1230](#), Idaho Code, be, and the same is hereby
29 repealed.

30 SECTION 7. An emergency existing therefor, which emergency is hereby
31 declared to exist, Sections 1, 2, 3, and 4 of this act shall be in full force
32 and effect on and after passage and approval, and retroactively to January
33 1, 2026; Section 5 of this act shall be in full force and effect on and after
34 passage and approval; and Section 6 of this act shall be in full force and
35 effect on January 1, 2027.